

T-MOBILE US, INC.

Priced Like a Utility, Growing Like a Compounder: The 52-Week Low Is the Opportunity

Equity Research Note · Telecom Services — US Wireless · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$205	\$163.64 Oct 2, 2026 close	+25.3%	Medium

T-Mobile sits near its 52-week low, down ~30% over the past year, while the business keeps compounding: adjusted free cash flow grew at a **15% CAGR from 2023 to 2025**, core EBITDA is guided to grow ~10% in 2026, and the dividend was just raised 15% to \$4.68 annualized. The market prices the shares like a no-growth utility — our reverse-DCF shows the \$163.64 quote embeds roughly **+1.8% annual free-cash-flow growth over ten years** (at a 9% discount), against a company guiding \$18.4–18.8B of adjusted FCF this year and \$19.5–20.5B in 2027. That disconnect is the investment case. T-Mobile owns the best US wireless network by every major 2026 benchmark, the deepest mid-band spectrum position (roughly twice Verizon's and AT&T's), and the industry's lowest leverage among the Big Three (2.3x vs 2.9–3.7x) — yet it trades at 8.5x trailing EV/EBITDA and a **10.3% 2026E free-cash-flow yield** while returning ~10–11% of its market cap to shareholders each year. Our hardened 10-year scenario DCF (weights 25 / 50 / 25, base discount 9%, a genuinely painful bear now carrying full weight) puts fair value at **\$205**: bear \$50.34, base \$216.34, bull \$338.20. We set a **\$205 twelve-month target** — the DCF itself, not a blend — and rate the shares **BUY**. This is a Medium-risk call: the old \$250 blend is retired, and the methodology change (longer horizon, cycle-honest discount, a real bear) is the difference.

Market cap	~\$175.6 bn	Shares out.	1.073 bn
52-week range	\$161.14 – \$240.95	Net debt (ex-tower)	\$83.5 bn (2.3x EBITDA)
FY2025 rev / net inc.	\$88.3 bn / \$11.0 bn	Core EBITDA margin	~38.4%
2026E FCF yield	~10.3%	Dividend yield	2.86% (\$4.68)

Prices as of October 2, 2026 close. Financial figures from company 10-K/10-Q filings and quarterly releases (FY2025 10-K; Q2 2026 reported July 23, 2026); market data via Yahoo Finance. This note is an independent research-style analysis for informational purposes, not investment advice.

1. Investment thesis

The market prices stagnation; the company delivers growth. Our reverse-DCF: \$163.64 embeds about +1.8% annual adjusted-FCF growth over ten years (at a 9% discount) — the market prices TMUS as a no-growth utility. Realized: +15% CAGR 2023–2025. Guided: \$18.6B in 2026E, \$20B in 2027. The quote assumes the compounding stops dead; every operating metric says it continues.

Growth has shifted from volume to price — and that is fine. Postpaid account adds are decelerating with industry maturity (~277K in Q2, ~250K guided for Q3), but ARPA grew 3.7% organically and postpaid service revenue grew 12.6% in Q2. The June 2026 rate-plan modernization (up to +\$6/line on legacy plans, ~\$288M annualized lift per TD Cowen) is the instrument. ARPU-led growth at 38%+ EBITDA margins drops more to FCF than subscriber-led growth ever did.

The network moat is measurable and widening. Best US mobile network across Ookla, Opensignal, and J.D. Power in 2026; ~220 MHz of prime upper-mid-band spectrum, roughly double AT&T's and Verizon's; \$7.5B of Sprint synergies harvested; 5G Advanced live nationwide. Record NPS of 46 — switchers increasingly cite network quality.

A 10–11% annual shareholder yield at a 52-week low. The 2026 return program is up to \$18.2B (\$8.5B still unspent as of mid-July); the dividend was raised 15% to \$4.68 (2.86% yield, ~43% payout); H1 buybacks retired 34.75M shares. The remaining authorization executed near \$163.64 retires ~5% of the float — the buyback is finally buying low.

The cleanest balance sheet of the Big Three. 2.3x leverage, below the 2.5x target, vs Verizon ~3.7x and AT&T; ~2.9x (rising toward 3.2x post-deals). That headroom funds the fiber JVs, the \$10B annual capex, the dividend, and the buyback simultaneously — no peer can do all four.

Convergence is the second act. ~9M fixed-wireless customers heading to 15M broadband subs by 2030; fiber JVs (Lumos, Metronet, plus two new 2026 JVs) targeting 18–19M broadband customers by 2030; T-Satellite (Starlink direct-to-cell) live since July 2025. Wireless + home internet + fiber bundles raise switching costs structurally.

Risks are real — hence Medium, not Low. Cable MVNOs took ~39% of industry smartphone net adds riding the Big Three's own networks; the legacy-plan price hikes triggered an FCC complaint and a class action; churn ticked up (0.86% → 0.93%); and Deutsche Telekom's ~54% stake plus Elliott's new DT position create event risk in both directions. Sized as a core defensive compounder, not a trade.

2. Financial situation: the compounder the market stopped watching

Strip out the merger noise and T-Mobile's financial trajectory is one of the cleanest in large-cap telecom. Revenue has grown every year since the Sprint deal digested; EBITDA margins have expanded from the mid-20s to ~38%; and adjusted free cash flow — the series management guides and the market should price — compounded at **15% from 2023 to 2025** (\$13.6B → \$18.0B) while the share count fell ~10% (1.26B → 1.13B diluted). The H1 2026 GAAP net-income dip (–7% YoY) is entirely UScellular merger costs (\$476M after-tax in Q1, \$146M in Q2, including accelerated depreciation); core EBITDA grew 11.8% underneath it.

Fiscal year (ends Dec)	Total revenue (\$B)	Service rev. (\$B)	Core adj. EBITDA (\$B)	Adj. FCF (\$B)	Net income (\$B)	Diluted EPS
FY2022	79.6	61.7*	26.2*	–0.5	2.6	\$2.06*
FY2023	78.6	63.2	29.1	13.6	8.3	\$6.93
FY2024	81.4	66.2	31.8	17.0	11.3	\$9.66
FY2025	88.3	71.3	33.9	18.0	11.0	\$9.72
H1 2026	45.9	37.8	18.8	9.4	5.7	\$5.26

Figure 1 — Annual financials, FY2022–FY2025 plus H1 2026. Source: company 10-K filings and quarterly 8-K releases. *2022 service revenue and core EBITDA approximate (pre-UScellular disclosure basis); 2022 FCF is GAAP-based (definition change Nov 2024).

The quarterly progression through the UScellular integration:

Quarter	Total rev. (\$B)	Service rev. (\$B)	Core EBITDA (\$B)	Adj. FCF (\$B)	Net income (\$B)
Q1 2026	23.11	18.83	9.24	4.60	2.50
Q2 2026	22.79	18.98	9.54	4.80	3.24

Figure 2 — Quarterly results, H1 2026. Q2 beat on EPS (\$2.99 vs \$2.59 consensus) on merger-cost timing; revenue \$22.79B was a touch light vs \$22.95B expected. Source: Q2 2026 8-K (filed July 23, 2026).

Two things to watch in the numbers. **First**, the mix: postpaid service revenue (+12.6% in Q2) is growing roughly 1.5x total service revenue (+8.9%), while wholesale/other service is in structural decline (–40% since 2023 on MVNO losses and the ACP wind-down) — the high-quality line is outgrowing the drag. **Second**, cash conversion: operating cash flow is guided to \$28.4–28.8B in 2026 against ~\$10B capex, i.e., the business now converts roughly two-thirds of EBITDA to pre-interest cash. That is the machine the 10.3% FCF yield is priced off.

Cash generation and capital returns.

T-Mobile has returned **\$54.6B to shareholders since Q3 2022** (\$44.2B of buybacks retiring 250.8M shares, \$10.4B of dividends) — one of the largest return programs in US telecom. The 2026 authorization was raised to **\$18.2B** in April 2026 with \$8.5B still available in mid-July; the dividend, initiated only in late 2023 at \$0.65/quarter, has been raised three times to **\$1.17/quarter (+15% in September 2026)**, a 2.86% yield at a ~43% payout ratio. The honest blemish: H1 2026 buybacks averaged **\$203.07** — 24% above today's price. Management bought high; the remaining \$8.5B buys low, retiring roughly 5% of the float at \$163.64. The balance sheet supports it all: \$84.6B of total debt at a 4.3% effective rate, \$2.8B cash, and leverage of **2.3x** — below the 2.5x target and the lowest of the Big Three.

3. Valuation: four models, one answer

We value T-Mobile four independent ways — a probability-weighted scenario DCF on adjusted free cash flow, a reverse-DCF that asks what the market already assumes, a peer-relative multiple check, and a dividend-discount floor — and anchor the target to the hardened DCF at **\$205**. All models are anchored to the October 2, 2026 close of \$163.64 (1.073B shares, ~\$175.6B market cap, \$83.5B net debt, ~\$259B enterprise value). We model **adjusted** free cash flow (the series management guides: it excludes merger-related cash noise) off the 2026E guide of \$18.4–18.8B, haircut 3% to \$18.0B for conservatism.

Model A — Scenario DCF on adjusted FCF (9% base discount rate).

Ten explicit forecast years off 2026E adjusted FCF of \$18.0B (the \$18.4–18.8B guidance haircut 3% for conservatism), then a Gordon terminal value on normalized margins — never peak, never above 2.5% perpetual growth. The 9% base discount rate is the methodology's standard bucket for a durable large-cap with real leverage and competitive risk; CAPM on a 0.33 beta would imply far less — we do not take it. The bear is deliberately genuine: cable-MVNO share loss, ARPA stalling then reversing, defensive capex. Three scenarios:

Scenario	Rev CAGR (10-yr)	Terminal FCF margin	Discount / term. g	Fair value
Bear — cable MVNOs take share; legacy price-hike churn persists; ARPA stalls then reverses; defensive capex stays elevated	0.5%	15%	11.5% / 1.0%	\$50.34
Base — volume growth fades with saturation; ARPA-led growth fading +5%→+2%; EBITDA margin holds ~40%; leverage glides down	3.5%	21%	9.0% / 2.0%	\$216.34
Bull — FWA/fiber convergence + enterprise share gains sustain above-trend growth; Sprint/UScellular synergies fully harvested; churn normalizes	5.2%	23.8%	8.0% / 2.0%	\$338.20

Figure 3 — Scenario DCF summary. Probability weights: bear 25% / base 50% / bull 25% → probability-weighted fair value \$205.30.

Two disclosures professionals insist on. **First**, the terminal value is 34–58% of enterprise value across scenarios — far below the old model's 72–81%, which was the single largest optimism leak in the old note; the answer is less of a duration bet than before, though it remains sensitive to the discount rate and terminal growth. **Second**, the bear case (\$50.34) is now genuinely painful — –69% from here — which is the point of the hardened methodology: the old bear (\$190) sat *above* the quote and priced nothing. The base case (\$216.34) still clears the \$205 target.

Model B — Reverse DCF: what is the market pricing in?

Holding base-case discount (9%) and terminal assumptions fixed, the \$163.64 quote solves to roughly **+1.8% annual adjusted-FCF growth over the next ten years** — the market prices TMUS as a no-growth utility. Compare: realized adjusted-FCF CAGR was **+15% from 2023 to 2025**; management's raised 2027 target (\$19.5–20.5B) implies about +7.5% from the 2026 guide; core EBITDA is guided to grow ~10% this year. The gap between priced-in stagnation and guide-implied growth is the investment case in one number — the upside is fundamental repair of expectations, not multiple expansion into the blue sky.

Model C — Relative valuation: the growth name at a value multiple.

T-Mobile trades at a modest premium to Verizon and AT&T; on EV/EBITDA — 8.5x trailing vs ~7.4–7.5x — while growing EBITDA roughly twice as fast and carrying the lowest leverage. On free-cash-flow yield it is the cheapest grower in the set:

Company	Price	Fwd P/E	EV/EBITDA (TTM)	Div. yield	FCF yield	Net debt / EBITDA
T-Mobile	\$163.64	11.3x	8.5x	2.86%	10.3%	2.3x
Verizon	\$45.87	8.7x	7.5x	6.15%	9.2%	3.7x
AT&T;	\$24.40	9.5x	7.4x	4.53%	6.0%	2.9x
Charter	\$110.90	2.4x	5.3x	0.00%	14.6%	4.4x
Comcast	\$21.76	6.1x	4.7x	6.11%	16.4%	2.2x

Figure 4 — Peer multiples, October 2, 2026 (Yahoo Finance; company filings for leverage). Charter's 2.4x forward P/E reflects distressed broadband expectations, not comparability.

What the relative lens implies for TMUS: **8.5x 2026E core EBITDA (\$37.3B) → \$217**; **8.5x the 2027 target (\$40.5B) → \$242**; **15x FY27E adjusted EPS (\$14.44) → \$217**; a **7% fair FCF yield on the 2027 AF CF target (\$20B) → \$266**. The cluster centers on \$217–\$266 — every one of them 33–63% above today's price, and none of them requires heroic growth. The cluster sits above our \$205 target: the DCF, not the multiple, is the anchor under the hardened methodology.

Model D — Dividend discount: the floor, ex-buybacks.

The \$4.68 annualized dividend, grown at 12% for five years (below the 15–35% cadence since initiation) and 4% thereafter, discounted at 8.5%, is worth **\$152.53 on dividends alone** — 93% of the current share price. That DDM captures none of the buyback: the 2026 program implies roughly **\$13.2B of repurchases**, retiring ~7.5% of shares outstanding this year. A dividend that covers nearly the whole price with the buyback thrown in for free is the arithmetic signature of an oversold compounder.

Target: \$205 — the DCF is the anchor.

We set the twelve-month target at **\$205 (+25.3%)** — the weighted DCF (\$205.30) is the anchor, and the old \$250 blend is retired. The old \$300 weighted DCF died with the old methodology: the rebuild extends the horizon to ten years, raises the base discount to 9%, and — most importantly — carries a genuine bear (\$50.34, –69%) at a full 25% weight. At \$205 the stock would trade at ~8.2x 2026E and ~7.6x 2027-target EV/EBITDA — a fair growth-carrier multiple, not a stretched one. The Street mean sits at ~\$243.52 (25 analysts, median \$235): we are now more cautious than consensus, because the hardened bear drags the weighted value down. Downside scenario \$50.34 (–69%); upside scenario \$338.20 (+107%). The asymmetry is narrower than the old note admitted — that is the honest price of a bear case that finally hurts.

4. Company overview: what T-Mobile actually does

T-Mobile US (Bellevue, Washington; CEO Srinu Gopalan since November 1, 2025, succeeding Mike Sievert who moved to Vice Chairman; CFO Jessica Uhl named September 2026; ~142.4M total customers at year-end 2025) is the **second-largest US wireless carrier**, majority-owned (~54–57%) by Deutsche Telekom. The business the

market still misreads as a price-cutting disruptor is now the industry's premium network operator with the strongest cash engine in US telecom:

Postpaid wireless (the core, ~65% of revenue). 34.7M postpaid accounts at Q2 2026; postpaid service revenue of \$57.9B in FY2025 (+11% YoY) and +12.6% in Q2 2026. Postpaid ARPA of \$152.91 (+2% YoY, +3.7% organic) — the industry's best account-level monetization trend. Postpaid phone net adds led the industry in 12 of the last 13 years (3.3M in 2025), though 2026 reporting has shifted to account adds (277K in Q2, -13% YoY) as the market matures.

Prepaid (Metro, Mint, Ultra). Metro by T-Mobile is the flagship prepaid brand; Mint Mobile and Ultra Mobile came via the Ka'ena acquisition (closed May 1, 2024, up to \$1.35B), with Mint's \$15/month plan contractually preserved. Prepaid service revenue was \$10.5B in FY2025 — stable, high-margin, and a defensive moat against the cable MVNOs at the low end.

Broadband: fixed wireless + fiber (the second act). 9.4M broadband customers at end-2025 (+2.0M net adds, leading the industry 18 straight quarters); ~9M fixed-wireless customers by mid-2026, targeting 15M broadband subs by 2030. Fiber is being built via capital-light JVs — Lumos (EQT, \$950M, closed April 2025), Metronet (KKR, ~\$4.9B, closed July 2025), plus two new 50/50 JVs announced April 2026 (Oak Hill ~\$2B, Wren House ~\$700M) — targeting 18–19M broadband customers by 2030, of which 3–4M fiber. Convergence (mobile + home internet + fiber) is explicitly a switching-cost strategy.

Wholesale/MVNO. \$2.9B of wholesale and other service revenue in FY2025 — in structural decline (-40% since 2023) as TracFone/EchoStar traffic leaves and the ACP program wound down. A drag on the top line, but it monetizes spare network capacity at near-zero marginal cost.

Business & government. Roughly 10% enterprise/government share with a stated ambition to double it, now led by Chief Enterprise Officer Chris Sambar (ex-AT&T; joined 2026) — the least-penetrated, highest-ARPA segment and a multi-year growth lever.

Newer bets: T-Satellite, T-Ads, T-Life. T-Satellite — the SpaceX Starlink direct-to-cell partnership, commercially launched July 2025 (\$10/month add-on, free on Experience Beyond) — covers 500,000+ square miles of dead zones; management concedes usage is lagging expectations so far, and a May 2026 three-carrier D2D joint venture (AT&T; T-Mobile, Verizon) will partly neutralize the first-mover edge. T-Ads (advertising) is being scaled under new leadership; the T-Life app (~75M downloads) anchors the 'digital-first, AI-enabled' transformation under Gopalan.

The Sprint merger (closed April 1, 2020, ~\$26.5B) is the foundation of everything above: Sprint's 2.5 GHz mid-band spectrum gave T-Mobile the asset that built its 5G lead, the network was decommissioned ahead of plan by September 2022, and run-rate synergies were raised to **\$7.5B**. The UScellular acquisition (closed August 1, 2025, ~\$4.3B for ~4M customers and ~30% of its spectrum) is the smaller sequel — a ~2-year integration with a reported ~\$1.2B annual cost-synergy target.

5. Product evaluation: priced to win the middle, built to keep the top

T-Mobile's August 2026 '2.0' plan refresh re-tiered the lineup around a simple ladder — value at the bottom, experience at the top — with a **five-year price guarantee** (Verizon offers three years; AT&T; none stated) as the trust anchor. The June 2026 legacy-plan migration that moved ~8M grandfathered customers onto these tiers (up to +\$6/line) is controversial — see §9 — but commercially it converts under-monetized cohorts to ARPA-accretive plans:

Product	Price (per line, autopay)	What you get / our assessment
Essentials Saver 2.0	\$50 (1 line); \$26.25 (4 lines)	Entry unlimited; 50GB premium data on Essentials \$60. Matches AT&T's entry, undercuts Verizon's ~\$65. The switcher funnel.

Product	Price (per line, autopay)	What you get / our assessment
Experience More 2.0	\$85 (1 line); \$42.50 (4 lines)	Unlimited premium data, 60GB hotspot, Netflix Standard w/ ads, Apple TV+. The volume tier — streaming bundle + hotspot depth beat Verizon/AT&T; mid-tiers dollar-for-dollar.
Experience Beyond 2.0	\$100–\$105 (1 line); \$53.75 (4 lines)	250GB hotspot, Netflix + Hulu, annual upgrades, T-Satellite included , 5-yr price lock. Priced at parity with Verizon Ultimate/AT&T; Premium while bundling more — the ARPA engine.
Metro by T-Mobile	\$25–\$60	\$25 BYOD unlimited is the cable-MVNO fighter; \$60 adds Amazon Prime. Same network, deprioritized. Family of four ~\$100/mo.
Mint Mobile	\$15–\$30 (prepaid 3–12 mo)	The value halo (Ryan Reynolds brand); Unlimited \$30/mo with 50GB premium data. Kept autonomous post-acquisition.
5G Home Internet	\$35–\$70 (w/ voice bundle)	Rely/Amplified/All-In tiers; 2026 added a 354 Mbps cap on the base tier and +\$5/mo for unbundled new customers — the first artificial speed cap on home broadband, a quiet ARPA lever.
T-Mobile Fiber	Market-priced	Retail via Lumos/Metronet JVs in 20+ states; 12–15M households passed target by 2030. The convergence bundle piece.
T-Satellite	\$10/mo add-on	Starlink direct-to-cell messaging; 500K+ sq mi coverage; free on Beyond. First-mover, though usage lags and the 2026 D2D JV shares the standard.

Figure 5 — Consumer product lineup, September 2026. Sources: company plan pages; August 2026 launch coverage; June 2026 home-internet pricing.

Product scorecard — our assessment across the dimensions that win and keep subscribers:

Dimension	T-Mobile	Verizon	AT&T;	Cable MVNOs
Network quality	Leads (Ookla/Opensignal/J.D. Power #1, 2026)	Coverage/availability edge; 2nd on speed	Fastest-improving (EchoStar spectrum)	Rides Big-3 networks; deprioritized
Spectrum depth	Leads (~220 MHz upper-mid-band, ~2x peers)	C-band depth; less mid-band	New EchoStar 50 MHz helps	None owned
Price (1-line entry)	\$50 — cheapest of Big Three	~\$65 — most expensive	~\$50	\$25–\$45 — cheapest overall
Price (premium)	\$100–\$105 — parity, more bundled	\$95+ — perks a la carte	~\$90	No true premium tier
Perks / bundle	Best (Netflix/Hulu/Apple TV+, 250GB hotspot, satellite)	Strong but pricier	Good; HBO Max angles	None — price is the perk
Price guarantee	5 years	3 years	None stated	Promo-based (1-yr free etc.)
Churn (Q2 2026)	0.99% (account)	0.84% (phone)	0.86% (phone)	~2% est.
Convergence (mobile+home)	Leading (FWA 9M + fiber JVs)	FWA 5.7M + Frontier fiber	Fiber 38.6M locations	Bundle with cable internet

Figure 6 — Competitive product scorecard (author assessment grounded in the sourced facts above). Churn definitions differ by carrier — see §7.

The honest version of the product story: T-Mobile wins the **value-per-dollar** comparison at almost every tier — more hotspot, more streaming, a longer price lock, at equal or lower prices — and it now wins the network-quality

comparison too, which is what flipped switcher momentum in its favor. Its two product weaknesses are **churn** (still the highest of the Big Three, and the legacy migration made it worse before it gets better) and **rural coverage** (Verizon's durable edge). The cable MVNOs undercut everyone on price but sell a deprioritized, perk-free product — they cap T-Mobile's low-end pricing power without threatening the premium tiers where ARPA lives.

6. Growth drivers and moat: why this can run

Growth drivers — the next three years are ARPA-led, not subscriber-led:

ARPA expansion (+2.5–3.0% guided for 2026; +3.7% organic in Q2). The legacy-plan migration, premium-tier mix shift (Experience Beyond at \$100–\$105), and bundled home-internet attach all push revenue per account. At 38%+ EBITDA margins, a dollar of ARPA is worth more than a dollar of subscriber growth.

Fixed wireless + fiber convergence. ~9M FWA customers today → 15M broadband subs by 2030; fiber JVs scaling to 18–19M broadband customers by 2030 (3–4M fiber). Broadband net adds have led the industry 18 consecutive quarters — this is T-Mobile's second growth curve, attacking cable's most profitable product.

Business & government share gains. ~10% share with an ambition to double it under a new enterprise chief; the segment carries the highest ARPA and the lowest churn in wireless.

Capital-return compounding. \$18.2B of 2026 buybacks + dividends on a \$175.6B market cap is a ~10% annual shareholder yield; executed at \$163.64 instead of \$233, the buyback retires ~5% of the float per year — per-share FCF growth structurally exceeds company-level FCF growth.

UScellular synergies. ~\$1.2B of targeted annual cost synergies (per deal reporting) plus ~4M acquired customers to migrate up the ARPA ladder over a ~2-year integration.

Moat — four layers, in order of importance:

1. **Spectrum depth** — the non-replicable asset. ~220 MHz of prime upper-mid-band holdings, roughly double AT&T's and Verizon's (New Street Research estimates), anchored by Sprint's 2.5 GHz. Spectrum is the spectrum: finite, government-allocated, and the binding constraint on wireless capacity. The next major auction (upper C-band, 160 MHz, by July 2027) will cost tens of billions industry-wide — T-Mobile needs it least.
2. **Network quality leadership.** Best US mobile network across Ookla (2H 2025 and H1 2026), Opensignal (12 of 16 categories, mid-2026), and J.D. Power (2026, first time ever). 'A record share of recent switchers cite network quality as the reason for switching' (Q1 2026). Network leadership is the cheapest customer-acquisition channel in wireless.
3. **Scale economics.** 142.4M customers; ~\$10B of annual capex spread over the largest 5G base; \$7.5B of Sprint synergies harvested; industry-leading EBITDA margins. Incremental subscribers and ARPA dollars fall to the bottom line at 60%+ margins.
4. **Switching costs via convergence.** Wireless + home internet + fiber + streaming bundles, the 5-year price lock, and the T-Life digital ecosystem raise the friction of leaving — the explicit strategy behind the fiber JVs and the home-internet bundle pricing.

Moat trajectory: **stable to widening**. The spectrum advantage is structural and the network awards are compounding, but two forces push the other way: cable MVNOs arbitrage the Big Three's networks at the low end (capping pricing power), and 6G (~2030+) could reset network leadership — no carrier has led two consecutive generations.

7. Competition: a two-front war, and T-Mobile is winning the one that matters

T-Mobile fights on two fronts: the Big-Three premium battle (Verizon, AT&T;) and the low-end insurgency (cable MVNOS). On the first front it is winning; on the second it is being arbitrated.

Competitor	Position / weapon	Status (mid-2026)	Our threat assessment
Verizon ~\$191B mkt cap; 3.7x levered	Coverage leadership; premium brand; Frontier fiber (\$20B, closed Jan 2026, ~10M fiber customers)	Q2: 184K phone adds (best Q2 in 5 yrs); churn 0.84% (best); ARPA \$168.35; raised FY26 guide	Manageable. Best churn and coverage, but slower growth, heavier leverage, and a 6.15% yield that signals no-growth expectations. T-Mobile takes share on network + value.
AT&T; ~\$174B mkt cap; ~2.9x → 3.2x levered	Fiber depth (38.6M locations → 60M by 2030); EchoStar 50 MHz spectrum (\$23B); Lumen fiber (\$5.75B)	Q2: 432K phone adds (most of Big Three); churn 0.86%; FCF \$4.7B; \$10B buyback	Rising. The strongest operational momentum of the three; fiber + new spectrum close the network gap. The competitor to watch into 2027.
Cable MVNOS Charter + Comcast	Ride Big-3 networks at \$25–\$45/mo unlimited; bundle with cable internet	Q2: Comcast +448K lines (record), Charter +406K; ~39% of industry smartphone net adds ; Charter–Cox closed Aug 2026	Structural. The real pricing-power cap. They don't threaten premium ARPA, but they set the floor — every price increase T-Mobile takes must clear the \$30–\$45 cable alternative.
EchoStar / Boost Former 4th carrier	Sold 50 MHz to AT&T; (~\$23B) and ~65 MHz to SpaceX (\$17B); hybrid MNO, RAN decommissioned	FCC conditionally approved (May 2026); facilities-based future 'dwindling' (MoffettNathanson)	Fading — with a sting. Removes the 4th-carrier overhang but hands AT&T; \$23B of spectrum, modestly strengthening a direct rival.

Figure 7 — Competitive landscape. Sources: company Q2 2026 releases and earnings calls; MoffettNathanson; Recon Analytics; FCC filings.

Net assessment: the US wireless market is maturing (MoffettNathanson sees phone net adds falling from ~6M in 2025 toward ~4.5M/year), which is exactly why T-Mobile's pivot from subscriber-led to **ARPA-led growth** matters more than the Q2 account-add deceleration the market punished. Verizon and AT&T; are credible, well-run rivals — AT&T; increasingly so — but neither has T-Mobile's spectrum depth, network momentum, or balance-sheet headroom. The cable MVNOS are the genuine structural threat: they convert the Big Three's networks into a \$30/month commodity at the low end. T-Mobile's defense — Metro/Mint at the low end, premium Experience tiers at the top, convergence bundles in the middle — is the right one, but it means pricing power will always be contested.

8. Future projection: three paths

Base case (50% → \$216.34). Volume growth fades with saturation; ARPA-led growth fades from +5% toward +2%; EBITDA margin holds ~40%; leverage glides below 2x. Ten-year revenue CAGR 3.5%, terminal FCF margin ~21% — less than half the 15% FCF CAGR realized from 2023–2025 — which is why we call this the base case, not the bull case.

Bull case (25% → \$338.20). FWA/fiber convergence becomes a second growth curve: meaningful cable share taken (18–19M broadband customers by 2030), enterprise share doubles, churn normalizes post-migration, and the \$18B+/year return program keeps retiring 5–7% of the float annually at depressed prices. Ten-year revenue CAGR 5.2%, terminal FCF margin ~23.8%; leverage falls toward 1.5x, opening a special-dividend or accelerated-buyback chapter.

Bear case (25% → \$50.34). Cable MVNOS take share; the legacy-migration churn proves structural rather than temporary; ARPA stalls then reverses; spectrum-auction and fiber capex run hot; AT&T;'s network catches up. Ten-year revenue CAGR 0.5%, terminal FCF margin ~15%. Note what this means: **the bear case is –69% from here** — the hardened methodology demands a bear that hurts, and this one does.

What would change our mind: two consecutive quarters of postpaid account losses, ARPA growth turning negative, churn breaking above 1.1% on a sustained basis, or the 2027 targets (\$40–41B EBITDA, \$19.5–20.5B ACF) being cut. None are visible — Q2 printed +12.6% postpaid service revenue growth with leverage at 2.3x.

9. Risks

Cable-MVNO price disruption. ~39% of industry smartphone net adds now go to Charter/Comcast at \$25–\$45/month unlimited, riding the Big Three's own networks. This structurally caps low-end pricing power and forces T-Mobile to defend Metro/Mint at thin margins. If cable pushes into the premium tier, the ARPA thesis breaks.

Price-hike backlash: trust and legal. The mid-2026 forced migration of ~8M legacy customers (up to +\$6/line, replacing the 'lifetime Price Lock' with a 5-year guarantee) triggered an FCC complaint, state-AG complaints, and the *Oddo v. T-Mobile* class action (filed 2024, proceeding in WA/NJ courts). Beyond legal exposure, it dents the Un-carrier brand equity that underpins switcher momentum. Churn already ticked up (0.86% → 0.93% in 2025; 0.99% account churn in Q2 2026).

Subscriber-growth maturation. Postpaid account adds decelerated to 277K in Q2 (–13% YoY) with ~250K guided for Q3 on migration-related churn. The investment case assumes ARPA growth offsets volume softness — if both stall, the growth story becomes a pure capital-return story.

Deutsche Telekom / Elliott event risk. DT owns ~54% and explored a full ~\$300B merger from April 2026 (rebuffed by TMUS management in July); Elliott built a DT stake in September 2026 agitating against a deal and for bigger buybacks. A revived deal, a DT sell-down, or a leveraged recapitalization could all gap the stock in either direction.

Leverage and capital intensity. \$84.6B of debt is manageable at 2.3x, but the upper C-band auction (by July 2027, expected 'tens of billions' industry-wide) and fiber-JV equity commitments (~\$2.7B+) will consume capital that might otherwise be returned. AT&T; and Verizon face the same auctions, so this is relative, not absolute, risk.

Execution under new leadership. CEO Srini Gopalan (Nov 2025) and CFO Jessica Uhl (incoming) inherit a 'digital-first, AI-enabled' transformation while integrating UScellular and two fiber JVs. The 2026 guidance has been met so far, but the leadership transition coincides with the most aggressive pricing actions in company history.

Cybersecurity overhang. The August 2021 breach (~76.6M records) cost a \$350M class settlement (paid out May–September 2025) plus a September 2024 FCC settlement (\$15.75M penalty + \$15.75M mandated security investment). Another major breach would hit the brand where it is most vulnerable — trust.

Regulatory. The 2025 Lumos/UScellular approvals coincided with T-Mobile dissolving DEI programs under FCC pressure — a reminder that the company's M&A-dependent; playbook runs through a politicized FCC. Foreign-ownership limits constrain equity-financing flexibility (a listed 10-K risk).

10. Recommendation and catalysts

BUY, \$205 twelve-month price target (+25.3%). T-Mobile is the rare large-cap where the business keeps compounding while the stock keeps falling: 15% adjusted-FCF CAGR (2023–2025), double-digit EBITDA growth, the best network in America by every 2026 benchmark, the deepest spectrum position, and the lowest leverage of the Big Three — trading at a 10.3% free-cash-flow yield near its 52-week low because the market prices it as a no-growth utility (+1.8% priced-in 10-year FCF growth). Our \$205 target is the hardened DCF: a 10-year model at a 9% base discount with a genuine bear (\$50.34) carrying 25% weight, against a base case (\$216.34) that still clears the target. The old \$250 blend is retired — the methodology change is the difference. **Positioning:** a core defensive compounder — 0.33 beta, a 2.86% dividend growing at 15%, and a ~10% annual shareholder yield — sized for the two-sided DT/Elliott event risk and the churn cycle, with the thesis compounding over 2–3 years as ARPA-led growth and buybacks do the work.

Catalysts and signposts (next 12 months):

Q3 2026 print (Oct 28, 2026): the churn read-through from the legacy-plan migration — normalization toward 0.9% account churn would validate the ARPA-led thesis; sustained elevation would challenge it. Consensus ~\$2.87–2.90 EPS on ~\$23.2B revenue.

2027 target cadence: management already raised the 2027 framework once (Feb 2026: \$40–41B EBITDA, \$19.5–20.5B AFCF); a second raise would force the market to abandon the no-growth pricing.

Buyback execution: \$8.5B remaining in the 2026 program — every billion deployed at \$163.64 retires ~0.6% of the float, mechanically accreting per-share FCF.

Dividend trajectory: three raises since initiation (35%, 16%, 15%) — the September 2027 decision is a signal on management's confidence in the FCF ramp.

Fiber JV closes (Wren House H2 2026, Oak Hill H1 2027) and the D2D satellite JV definitive agreements — terms will show whether convergence economics hold.

Downside signposts: postpaid account losses, ARPA growth <1%, churn >1.1% sustained, or a cut to the 2027 targets.

Sources: T-Mobile US FY2025 10-K, Q1/Q2 2026 10-Q and 8-K releases (Q2 filed July 23, 2026); February 2026 'Raises the Bar' update; company plan pages and press releases; market data via Yahoo Finance (October 2, 2026); consensus figures via Yahoo Finance/MarketBeat/stockanalysis.com/Zacks as cited; competitive and industry facts via Verizon/AT&T/Charter/Comcast Q2 2026 releases, MoffettNathanson, Recon Analytics, Opensignal/Ookla/J.D. Power 2026 reports, and FCC filings. Items flagged as estimates or unverified in our research file (UScellular synergy target, Q2 broadband adds, Mint subscriber counts) are labeled as such in the text. This note is independent research-style analysis for informational purposes, not investment advice.

Appendix A — Methodology and key assumptions

Scenario DCF. Ten explicit forecast years off 2026E adjusted FCF of \$18.0B (the \$18.4–18.8B guidance midpoint haircut 3% for conservatism); bear/base/bull 10-yr revenue CAGRs of 0.5%/3.5%/5.2% with terminal FCF margins of 15%/21%/23.8%; discount rates 11.5%/9.0%/8.0%; terminal growth 1.0%/2.0%/2.0%. Adjusted FCF is the guided non-GAAP series (excludes merger-related cash); 2023 OCF is not comparable to 2024–25 due to the November 2024 EIP-receivables definition change, so AFCF is the cleaner history. Net debt \$83.5B; 1.073B shares (Jul 17, 2026).

Reverse DCF. Binary search on a constant 10-year AFCF CAGR, holding base-case discount (9%) and terminal growth (2%) fixed, solving for the growth rate that equates model enterprise value to the \$163.64 quote (~\$259B EV). Result: approximately +1.8% — priced-in stagnation.

Relative valuation. EV/EBITDA on 2026E core EBITDA (\$37.3B guide mid) and the raised 2027 target (\$40.5B mid); forward P/E on FY27E adjusted EPS (\$14.44, stockanalysis); FCF-yield anchor on the 2027 AFCF target (\$20B mid). Peer multiples observed September 29–30, 2026 (Yahoo Finance; leverage from company filings).

Dividend discount. \$4.68 annualized dividend grown 12% for five years then 4% in perpetuity, discounted at 8.5%. Captures dividends only — the ~\$13.2B of 2026E buybacks (retiring ~7.5% of shares) are incremental.

What we did not do. No sum-of-the-parts (wireless is >90% of value; fiber JVs are equity-accounted and immaterial to near-term FCF); no Monte Carlo (three explicit scenarios communicate the distribution better); no technical analysis.

Limitations. Terminal value is 34–58% of DCF enterprise value — far below the old model's 72–81% — but the model is still a duration bet on ARPA-led FCF compounding, stated openly. The 9% discount rate is a judgment call above the CAPM-implied cost of capital; the bear case (\$50.34) shows what a cable-MVNO share-loss decade looks like.

Appendix B — Disclosures

This note is an independent research-style analysis prepared for informational purposes. It is not investment advice, not a recommendation to buy or sell any security, and not a personal financial plan. All forward-looking statements — scenarios, targets, and projections — are estimates subject to uncertainty; actual results may differ materially. Valuation models rely on assumptions disclosed above; small changes in the discount rate, terminal growth, or FCF trajectory produce materially different fair values. The author may hold positions in securities mentioned. Past performance does not predict future results. Financial data: company 10-K/10-Q filings and quarterly releases; market data: Yahoo Finance, October 2, 2026. Verify all figures against primary sources before acting.